

16-3b Advertising as a Signal of Quality

Many types of advertising contain little apparent information about the product being advertised. Consider a firm introducing a new breakfast cereal. The firm might saturate the airwaves with advertisements showing some actor eating the cereal and exclaiming how wonderful it tastes. How much information does the advertisement really provide?

The answer is more than you might think. Defenders of advertising argue that even advertising that appears to contain little hard information may in fact tell consumers something about product quality. The willingness of the firm to spend a large amount of money on advertising can itself be a *signal* to consumers about the quality of the product being offered.

Consider the problem facing two firms—General Mills and Kellogg. Each company has just come up with a recipe for a new cereal, which it would sell for **\$3** a box. To keep things simple, let's assume that the marginal cost of making cereal is zero, so the **\$3** is all profit. Each company knows that if it spends **\$10** million on advertising, it will get 1 million consumers to try its new cereal. And each company knows that if consumers like the cereal, they will buy it not once but many times.

First consider General Mills' decision. Based on market research, General Mills knows that its cereal tastes like shredded newspaper with sugar on top. Advertising would sell one box to each of the 1 million consumers, but consumers would quickly learn that the cereal is not very good and stop buying it. General Mills decides it is not worth spending **\$10** million on advertising to get only **\$3** million in sales. So it does not bother to advertise. It sends its cooks back to the test kitchen to come up with a better recipe.

Kellogg, on the other hand, knows that its cereal is great. Each person who tries it will buy a box a month for the next year. Thus, the **\$10** million in advertising will bring in **\$36** million in sales. Advertising is profitable here because Kellogg has a good product that consumers will buy repeatedly. Thus, Kellogg chooses to advertise.

Now that we have considered the behavior of the two firms, let's consider the behavior of consumers. We began by asserting that consumers are inclined to try a new cereal that they see advertised. But is this behavior rational? Should a consumer try a new cereal just because the seller has chosen to advertise it?

In fact, it may be completely rational for consumers to try new products that they see advertised. In our story, consumers decide to try Kellogg's new cereal because Kellogg advertises. Kellogg chooses to advertise because it knows that its cereal is quite good, while General Mills chooses not to advertise because it knows that its cereal is not good at all. By its willingness to spend money on advertising, Kellogg signals to consumers the

quality of its cereal. Each consumer thinks, quite sensibly, “Boy, if the Kellogg Company is willing to spend so much money advertising this new cereal, it must be really good.”

What is most surprising about this theory of advertising is that the content of the advertisement is irrelevant. Kellogg signals the quality of its product by its willingness to spend money on advertising. What the advertisements say is not as important as the fact that consumers know the ads are expensive. By contrast, cheap advertising cannot be effective at signaling quality to consumers. In our example, if an advertising campaign cost less than \$3 million, both General Mills and Kellogg would use it to market their new cereals. Because both good and bad cereals would now be advertised, consumers could not infer the quality of a new cereal from the fact that it is advertised. Over time, consumers would learn to ignore such cheap advertising.

This theory can explain why firms pay famous actors large amounts of money to make advertisements that, on the surface, appear to convey no information at all. The information is not in the advertisement’s content but simply in its existence and expense.

Is it rational for consumers to be impressed that George Clooney is endorsing this product?

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